STANDARD OPERATING PROCEDURE

OCR-Based Conversion of Purchase & Sales Invoices into Tally-Compatible Excel and XML

Document Title	SOP — OCR-Based Conversion of Purchase & Sales Invoices into Tally-Compatible Excel and XML
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Applicable To	TallyPrime — trading clients (Indian GST accounting)
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1. Purpose & Scope

This SOP defines the standard procedure for an accounting-automation assistant used in a CA office to read purchase and sales invoices (PDF, JPEG or any image format), extract accounting-ready data, and produce Tally-compatible Excel and XML files for import into TallyPrime.

The procedure covers Indian GST accounting for trading clients and is designed so the output is suitable for Excel import, XML generation, Tally master creation, Tally voucher creation, GST reconciliation and CA review.

Out of scope for this version: payroll, manufacturing/BOM, job-work, and detailed bank-statement auto-posting (to be addressed in a later revision).

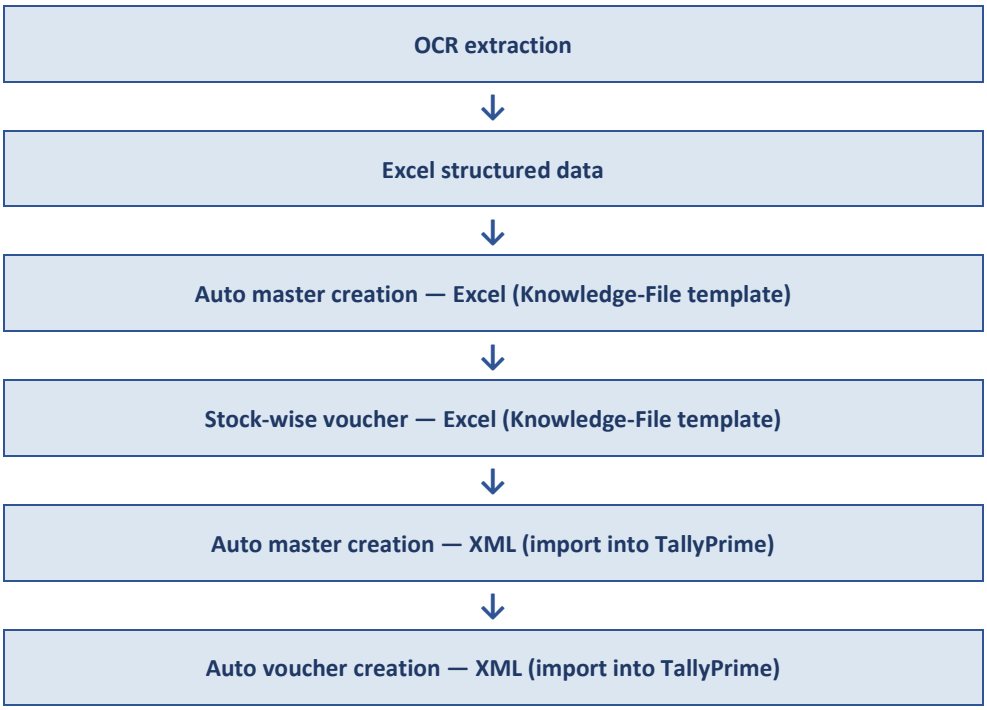
2. Definitions & Abbreviations

- **GSTIN** — Goods and Services Tax Identification Number (15 characters).
- **HSN / SAC** — Harmonized System of Nomenclature (goods) / Service Accounting Code (services).
- **GSTR-2A** — auto-drafted inward-supply statement downloaded from the GST portal as Excel, reflecting invoices uploaded by suppliers.
- **ITC** — Input Tax Credit.
- **Ledger / Group** — an account head in Tally / its classification (e.g., Sundry Creditors, Sundry Debtors).
- **Stock Item** — an inventory master carrying HSN and, importantly, its GST rate.
- **Voucher** — a transaction entry (Sales, Purchase, Payment, Receipt, Contra).
- **Place of Supply** — the state that determines whether a transaction is intra-state (CGST + SGST) or inter-state (IGST).

3. Process Flow

The utility converts source images into Tally-ready files in the following sequence. Excel is produced first (per the Knowledge-File templates) and then converted to XML for direct import into TallyPrime.





4. Data Extraction — Fields Captured per Invoice

For every invoice, the following are extracted:

1. Supplier / customer name	10. Rate
2. GSTIN	11. Taxable value
3. Invoice number	12. CGST, SGST, IGST
4. Invoice date	13. Round off
5. Place of supply	14. Invoice total
6. HSN / SAC	15. GST rate
7. Item name	16. Nature of transaction (intra / inter-state)
8. Quantity	17. Accounting classification
9. Unit	18. ITC eligibility

Assumption rule: no missing invoice field is silently filled. Any value that cannot be read from the invoice is left blank and recorded explicitly as an assumption in the exception notes.

5. Per-Invoice Deliverables

Alongside the extracted fields, the utility prepares, for each invoice:

- **Journal entry** — the double-entry posting in accounting terms.
- **Tally voucher structure** — voucher type, ledgers, stock items and tax heads as they will appear in Tally.
- **Excel import row** — the structured row(s) matching the Knowledge-File template.
- **GST classification** — intra-state vs inter-state, rate slab, and taxability.
- **ITC eligibility remarks** — eligible / ineligible / blocked, with reason.
- **Exception notes** — assumptions made and any flags raised (see Section 10).

6. Master Data Setup

6.1 Party ledgers

- Suppliers under **Sundry Creditors**; customers under **Sundry Debtors**.
- Use Tally's **"Fetch details from GSTIN/UIN"** to auto-pick the party's legal name, trade name, registration type and address from the GST server. **Bank details are entered manually.**

6.2 Stock masters

- Each stock item carries its **HSN/SAC** and its **GST rate in the stock item master itself** — this is what keeps the taxability/rate valid on import.
- Configure units of measure; Tally supports compound units, e.g., **1 kg = 1000 g**.

6.3 Company GST details

- The company's own GSTIN and registration type must be configured in TallyPrime before import, or vouchers fail with a company-registration error (see Section 9).

6.4 Client stock flag

- For clients not maintaining inventory, set **"Stock = Disabled"**; all entries are then posted as accounting (money-only) vouchers.

7. Ledger Naming Convention

Ledgers are named per standard purchase/sales accounting practice, exactly as below, so masters map consistently across clients:

Category	Ledger name (exact)
GST — Input (on purchases)	Input CGST Input SGST Input IGST
GST — Output (on sales)	Output CGST Output SGST Output IGST
Rounding	Round Off
Purchase (rate-wise)	Purchase exempted Purchase GST 5% Purchase GST 12% Purchase GST 18%
Sales (rate-wise)	Sales exempted Sales GST 5% Sales GST 12% Sales GST 18%

8. Entry-Mode Logic & GST Classification

Nature of transaction: if Place of Supply is the same state as the company → intra-state → CGST + SGST; if different → inter-state → IGST. The correct tax head follows from this.

Two voucher modes are used:

- **Item (stock) invoice mode** — when item/HSN/quantity detail is available AND stock is enabled.
- **Accounting (money-only) invoice mode** — ledger-to-ledger, no stock item or quantity.

Decision rule: source = GSTR-2A **OR** client stock flag = Disabled → Accounting mode; otherwise → Item mode. Note that **GSTR-2A does not carry HSN or stock detail**, so purchases sourced from it are always money-only.

Source of data	Client stock flag	Voucher entry mode
Sales / Purchase invoice	Enabled	**Item (stock) invoice**
Sales / Purchase invoice	Disabled	**Accounting (money-only)**
GSTR-2A Excel	Enabled or Disabled	**Accounting (money-only)**

9. TallyPrime Import-Defect Prevention

The process is designed to prevent the following import errors before the XML is generated:

Import error in TallyPrime	Prevention rule built into the process
Invalid GSTIN / GSTIN-UIN not specified / Invalid Supplier or Consignee GSTIN	Validate every GSTIN for 15-character format and checksum; ensure supplier, buyer and the company's own GSTIN are all captured and well-formed. Hold the record if any is missing.
Taxability Type is invalid or not specified	Set each stock item / ledger's taxability (Taxable, Exempt, or Nil-rated) and its GST rate in the master itself before import.
GST Registration Details of the Company are invalid or not specified	Configure the company's own GSTIN and registration type in TallyPrime (Company GST Details) before importing masters or vouchers.
Place of Supply is invalid or not specified	Capture Place of Supply on every invoice, map it to a valid state, and derive intra-/inter-state from it.

10. Data-Integrity & Exception Rules

- **Never assume missing data.** Blank fields are marked as assumptions, not guessed.
- **Duplicate invoice number** — same party + invoice number (+ date) must not post twice; flag it.
- **GST mismatch** — taxable value × rate must equal the stated tax; flag any variance.
- **Blocked / ineligible ITC** — flag with reason; do not claim credit.
- **Wrong tax head** — e.g., IGST on an intra-state supply, or CGST/SGST on inter-state; flag and correct.
- **Missing GSTIN** — hold the record for manual review.

11. Step-by-Step Procedure

11.1 Sales invoice

1. Place the invoice image/PDF in the input folder; run OCR extraction.
2. Populate the 18 fields into the Excel structured-data sheet; record any assumptions.
3. Verify/create the customer ledger under Sundry Debtors (GSTIN fetch for new parties).
4. Verify/create stock items with HSN and GST rate in the master (if stock enabled).
5. Classify intra/inter-state and select entry mode (Section 8).
6. Generate Excel masters, then the stock-wise voucher Excel (per templates).
7. Convert to XML — masters first, then Sales vouchers — and import into TallyPrime; verify count and totals.

11.2 Purchase invoice

1. Same as 11.1, with the party under Sundry Creditors and Purchase vouchers.
2. Record ITC eligibility remarks for each line.

11.3 Purchase from GSTR-2A

1. Download the GSTR-2A Excel from the GST portal for the period.
2. Extract supplier, invoice and tax fields only (no HSN, no stock).
3. Verify/create the supplier ledger under Sundry Creditors.
4. Post in Accounting (money-only) mode; generate Excel then XML Purchase vouchers.
5. Reconcile ITC against the purchase register (Section 12).

12. Validation & Reconciliation

- **GSTIN check** — format + checksum for supplier, buyer and company.
- **Tax recomputation** — taxable × rate = tax; totals tie to invoice total incl. round off.
- **Duplicate check** — across the batch and against existing books.
- **GSTR-2A vs books** — reconcile ITC between the 2A and the purchase register.
- **Post-import verify** — voucher count and grand totals in Tally match the source.

13. Roles & Responsibilities

- **Tech SME**— runs OCR, prepares Excel, resolves basic exceptions.
- **Data SME / Manager**— Indentify data gaps and connect to stakeholder for requirement gathering
- **CA** — final review, GST reconciliation, sign-off.

14. Revision History

Version	Date	Description of change	Author
1.1	[DD-MM-YYYY]	Aligned to OCR→Excel→XML pipeline; added 18 extraction fields, ledger naming, defect prevention, integrity rules	Siddharth